

***Never split the difference:
Negotiating as if your life depends on it***
~ Chris Voss

Chapter 1:

Intro

Chapter 2:

1. Listening is an active skill, not passive
2. Use a positive playful voice, when people are in positive frame of mind, we think more quickly and more likely to problem solve and collaborate
3. Use **Mirrors** (repeat the last 3 words of what someone said to you, back to them). We fear what's different and drawn to what's similar. Mirroring is the art of insinuating similarity which facilitates bonding.

Chapter 3:

1. **Label** someone's emotions while talking to them. Give their emotions a name. Ex: "It seems like you are experiencing a high amount of stress". After giving the label, be silent. This will get them to open up further.
2. While labelling, don't use the word "I". Ex: "I am hearing that..." rather say "It seems like...". When you say "I", it shows you are more interested in you than the other person.
3. Practice empathy (different from sympathy) - people have the need to be understood. It helps you understand another person's perspective (which you might not agree with) but that conveys you are listening and they will open up further.

Chapter 4:

1. Break the habit of getting people to say "Yes" and persuading them to say "Yes". Being pushed for "Yes" makes people defensive.

2. **Learn to say “No” and hear “No”**, since it's not the end of conversation/negotiation, instead it redirects the conversation to understand what people really want.
3. People need to feel in control. Hence, start by asking questions which will get them to say “No” for the first few questions and then get the final “Yes”. When people say “No” they feel they are in control and authoritative in the conversation. This might get them to say “Yes” to a final, most important question you ask.
4. When people come to you with problems, Don't just solve the problems for them. Help them, so that they can arrive at the solution. If you do it for them, how are they going to help themselves in the future? After the conversation, they need to be congratulating themselves for arriving at the solution, not you.

Chapter 5:

1. Five stages to take any person from listening to influencing behaviour: Active listening, empathy, rapport, influence, and behavioural change.
2. More techniques for active listening: Effective Pauses, Mirroring, Labelling, **Summarise, Paraphrase** what they said back to them.
3. Sweetest two words in any negotiation are **“That’s right”**, not “You're right”. Use the above techniques (understand, aim to summarise their point of view and emotions) to get people to say “That’s right”. Once people feel validated, heard and understood - they are more likely to open up to a solution.

Ex : Workplace conflict with a teammate

Situation: A teammate is frustrated that you didn't consult them on a decision.

“It sounds like you felt left out of the loop on something important, and that made you feel like your input wasn't valued, even though you've been closely involved from the beginning. You just want to make sure decisions reflect the full team's input.”

Chapter 6:

1. Don't be rushed by deadlines always, it makes you do impulsive things. Meeting halfway often leads to bad deals for both sides. When someone

says “you need to give me this much it's a Fair offer” - Don't fall for it, just because they think it's fair.

2. Use the F-word “**Fair**”. People like to be treated Fairly, so you can say “I want you to feel like you are being treated Fairly at all times. So please stop me at any time if you feel I am being unfair and we will address it.
3. If you are in a difficult situation, just lay out all the bad things first and then start talking
4. Negotiating a salary -> Let the other guy go first - Establish a range - Use Odd numbers when you talk numbers

Chapter 7:

1. Successful negotiation involved getting your counterpart to do the work for you and suggest your solution himself. It involves giving them the “**Illusion of control**”, while you were in fact defining the conversation.
2. Ask **open-ended questions** starting with “How” and “What”, and avoid “Why” since it might feel like you are accusing .For ex: Instead of “Why did you do it?” -> “What caused you to do it?”
3. Ask **calibrated questions** (open-ended questions which put the other side in problem-solving mode and make them feel like they are in control).
4. **Self-control** and **emotions** play a huge role in negotiation. It's important to keep your calm when attacked. Pause, Think and respond.

Chapter 8:

1. “**Yes**” is nothing without a “**How**” - Asking “How” - Knowing “How” - defining “How” are all part of an effective negotiator's arsenal. “Yes” is just potential. “How” turns it into a plan, follow up with a calm, open-ended How question.
2. Only 7% of a message is baked into the words while 38% percent comes from the **tone of voice** and 55% percent from the **speaker's body language** and face. **Align your tone - facial expression and words**
3. **Rule of Three:** Getting the other person to agree to the same thing three times in a conversation - Do this by Label/Summarising what they said, Ask a calibrated How/What question - “How are you planning to do that?”

Chapter 9:

1. Three types of bargaining people: **Accommodative, Assertive and Analysts**. Knowing what type you are and what type the other person is can help you negotiate better.
2. **Smile when you speak** - People will be more forthcoming with information to you as a result.
3. When someone puts out a ridiculous offer, one that really pisses you off, take a deep breath, allow a little anger and channel it at the proposal and say "I don't see how that would ever work". **The person across the table is never the problem, the unresolved issue is** - focus on that to avoid emotional escalations.
4. While bargaining: Once you are clear on what your bottom line is, you have to be willing to walk away. **Never be needy for a deal.**
5. **Ackerman model for Bargaining:**
 - a. Set your target price (your goal).
 - b. Set your first offer at 65 percent of your target price.
 - c. Calculate three raises of decreasing increments (to 85, 95, and 100 percent).
 - d. Use lots of empathy and different ways of saying "No" to get the other side to counter before you increase your offer.
 - e. When calculating the final amount, use precise, non round numbers like, say, \$37,893 rather than \$38,000. It gives the number credibility and weight.
 - f. On your final number, throw in a non monetary item (that they probably don't want) to show you're at your limit.

Chapter 10:

1. There are **unknown unknowns** in a conversation - called as **Black Swans** and it can have game changing effects on negotiation dynamics. Black Swan : Things happen that were previously thought to be impossible or never thought of at all.
2. Don't let what you know blind you, let them guide you and remain flexible and adaptable to any situation. This is how one can reveal Black Swans.
3. There are three type of **leverage**: **Positive**(ability to give someone what they want), **Negative**(ability to hurt someone), **Normative**(using counterpart's norms to bring them around)

4. Know their **religion**, try to understand their **point of view** and **reasons in detail**. Others might be ill-informed, have constraints, or other interests. Understand all of them and then continue the conversation.
5. Get **face time** with counterparts, it can reveal much more than days of research.
6. **People generally fear conflict**, so they **avoid useful arguments** out of fear it might lead to personal attacks. Genuine, honest conflict between people over their goals actually helps energize the problem-solving process in a collaborative way.

Prepare a negotiation sheet:

1. The Goal

- What is your **aspiration point**? What would success look like for you?
- This should be **clear, specific, and ambitious**, not just your minimum acceptable outcome.

 *Example:* “Get the client to agree to a 12-month retainer at \$10,000/month.”

2. Summary of Known Facts

- List everything you know about the situation, the other side, their constraints, motivations, and needs.
- This helps you see the full picture and reduces surprises.

 *Example:* “They’re behind on their current roadmap. Their budget resets in two weeks. Their team is understaffed.”

3. Labels and Accusation Audit

- Prepare **labels** you can use to identify and validate emotions.
- Think of possible **accusations** they might throw at you, and preemptively **neutralize** them.

 *Example:*

- Labels: “It seems like you’re under pressure to deliver fast.”
 - Accusation Audit: “You might think we’re just another expensive vendor trying to upsell.”
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4. Calibrated Questions

- Prepare **open-ended, 'how' or 'what' questions** that make the other side think and reveal useful information.
- These questions keep the conversation collaborative.

 *Example:* “How can we structure this so that it works for both sides?”
“How does this fit into your team’s current priorities?”

5. Non-Monetary Terms & Bargaining Chips

- List **non-price items** you could offer or ask for during negotiation.
- These are often overlooked, but can be valuable (e.g. exclusivity, faster timeline, testimonials).

 *Example:*

- You offer: “Priority onboarding”
- You ask: “Customer success story after 3 months”

Thinking Fast and Slow

~ Daniel Kahneman

Introduction:

The book aims to explore two types of thinking: System 1 - Fast, intuitive and System 2 - Slow, deliberate and how they influence our judgement and decision making.

Part 1 - Two Systems

When you are cognitively busy you are less likely to give enough thought to a decision at hand, and likely to make selfish choices.

Our brain naturally tries to minimize the mental effort while solving any problem, so it utilizes System 1 automatically. It's always better to spend some extra time to activate System 2 and deliberately think through the problem before coming to any conclusion.

If you have had to force yourself to do something, you are less likely to exert self-control when the next challenge comes around

The nervous system consumes more glucose than most parts of the body and restoring the level of available sugar in the brain is important for good performance and effortful thinking.

Many people are overconfident and have too much faith in intuition. Make sure to spend some extra time and do the mental work to double check.

Primal effect, what you see, read, hear - subconsciously has an effect on the next things you do. Be mindful and make sure to surround yourself with positive, inspiring things. Priming phenomena arises in System 1 and we have no conscious access to it. Example: SO_P, when you see eat you think of SOUP, when you see dishes, SOAP.

Frequent repetition can make people believe in falsehoods, because familiarity is not easily distinguished from truth

Don't jump to conclusions too quickly, jumping to conclusions is risky when the situation is unfamiliar, stakes are high and there is no time to collect more information.

When System 2 is engaged, we will believe almost anything. System 1 is gullible and biased to believe, System 2 is in charge of doubting and unbelieving, but System 2 is sometimes busy and often lazy.

Jumping to conclusions based on limited evidence can lead to bad decision making and uses a shorthand notation in the book WYSIATI - What you see is all there is. Consistency of information is important, not completeness.

We often answer one question in place of another and it is called substitution. Target question is the assessment we intend to produce and heuristic is the simpler question we answer instead. Do the analysis and answer the intended question carefully instead of substituting for a different one.

Part 2 - Heuristic and Biases

Extreme outcomes are more likely to be found in small rather than large samples. When investigated for the number of children in school affecting quality of education, both the best and worst ranking were from schools of lesser population and on average schools with higher population did better.

We are far too willing to reject the belief that much of what we see in life is random.

Anchoring effect - when we consider a particular value for an unknown quantity before estimating that quantity. When we are estimating something and see a number or some information before that, we tend to bias our estimate based on that.

We are aware of the anchor and pay attention to it, but don't always know how it guides our thinking, because we can't imagine how we would have thought in case it was not present or different.

Before believing something to be true and start panicking only because it is more "available" to us and "loud" in nature through media, verify the facts, do the research and then act up on it.

While making any predictions always consider the base rate, not just representativeness of the situation. Ex: A person reading NY Times in the subway is a PhD or non-college graduate. Representativeness would tell PhD but statistics would tell that many more non-college grads use the subway than a PhD so a non-college grad would be a more probable answer.

Two possible failures for System 2 failing: Ignorance and Laziness.

Less is More. As we add more events the probability of them occurring reduces since the $P(A \cap B) < P(A) \text{ or } P(B)$ (think of venn diagram)

The test of learning psychology is whether your understanding of the situations you encounter has changed, not whether you learned a new fact.

The book then introduces the concept of “regression to the mean”. When something performs very well, the next time is likely to be worse and vice versa. It does not always have a causal explanation and that luck played a role in the outcome of the first event.

Correlation doesn't always imply causation.

Intuitive predictions - our associative memory quickly and automatically constructs the best possible story from the available information. Hence our intuitive predictions need to be corrected because they are not regressed and therefore are biased.

How to correct our intuitive predictions?

- Make a baseline prediction (Base rate), in case you knew nothing about the particular case (ex: predict gpa as avg gpa with no information available about the person)
- Make an intuitive prediction based on the information available (ex: intuitive prediction about gpa based on the qualities of the candidate)
- Aim for a prediction that is intermediate between the baseline and intuitive prediction.
- Default case of no useful evidence : stay with the baseline

Our intuition delivers predictions that are too extreme and we are inclined to put too much faith in them.

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Part 3 - Overconfidence

We believe that the world is more knowable than it is and we often exaggerate the role of skill and underestimate the part luck played in the outcome.

We are prone to blame decision makers for good decisions that worked out badly and give them too little credit for successful moves that appear only obvious after the fact. There is a clear outcome bias.

The illusion that one has understood the past feeds the further illusion that one can predict and control the future.

The Hedgehog and the fox -

Hedgehogs know “one big thing” and have a theory about the world, they account for particular

events with a coherent framework, bristle with impatience towards those who don't see things their way and are confident in their forecasts. For them a failed prediction becomes “off timing” or “nearly right”.

Foxes are complex thinkers. They don't believe one big thing drives the march of history. They recognise that reality emerges from the interactions of many different agents and forces including blind luck, often predicting large and unpredictable outcomes. They tend to be better predictors on average compared to Hedgehog.

Intuition vs Formula :

If there is an algorithm available that will make fewer mistakes, don't just rely on intuition. Simple statistical rules are superior to intuitive “clinical” judgement.

For example: while hiring it can be used to note down a list of parameters(no more than 6) and rate the candidate based on these and assign weights to them as well. After the interview rate on each of the parameters and decide by the formulae and not on if you liked one person more than the other.

Don't simply trust your intuitive judgment - your own or that of others but don't dismiss it either. Whenever we can replace human judgement with a formula, we should at least consider it.
